not seaworthy.'[165] According to the Annual Report on the Working of Native Passenger Ships Act, the *Ipswich* made only twenty-nine voyages carrying 1,992 passengers during 1908–09; little wonder that by chartering it SSNCo lost so much.[166]

Despite these straitened circumstances, SSNCo introduced a new coasting service. The idea was 'to develop small ports all around the coast and revive the coastal trade'.[167] Subramania Bharati also welcomed the extension of the service to the coast and expressed the hope that the richer class of South Indians would support the company to extend its reach to Bombay, Calcutta, Karachi and Rangoon.[168] In moving freight from Thirumullaivasal, SSNCo had reversed a self-serving move by BI which, after its tie-up with the South Indian Railway, had ensured the closing down of the port so that goods would be moved by train to Tuticorin for shipping to Colombo.[169]

Direct goods and passenger traffic between Madras and Colombo opened —sometime in July 1908—and the *Lawoe* was assigned to it.[170] Its master was Captain R.W. Cooper and Chief Engineer Alex Flett.[171] The *Lawoe* serviced the whole route from Madras to Colombo touching Pondicherry, Nagapattinam, Thirumullaivasal and Karaikal. (SSNCo's Colombo agent also mentions Velankanni.[172]) On the way back the *Lawoe* also touched Galle south of Colombo.[173] Volkart and Bros were appointed as Madras agents, while one Pakkiriswami Chetty represented it at Nagapattinam.[174] Lloyd's Register records at least two voyages to Nagapattinam in July and August and one to Kakinada, though it does appear that the Lloyd's record is somewhat incomplete.[175]

SSNCo was now in intense competition with BI and the Asiatic Steam Navigation Company. In response, its rivals cut their rates by half. This time around the merchants proved to be smarter: wise after their earlier experience, they asserted that they would ship only by the Swadeshi vessel unless the agents—Binnys and Wilson & Co.—signed an undertaking to maintain the reduced rates for ten years.[176] It is unlikely that the European companies took the bait. If the tough bargaining by the merchants was